



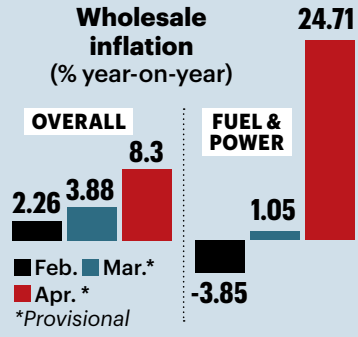
CHANDRADEEP KUMAR

INFLATION

SURGING PRICES

The sharp jump in wholesale inflation in April was driven by the fuel and power category

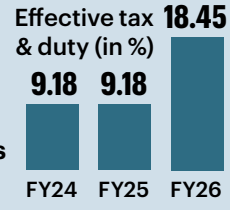
Source: MOSPI

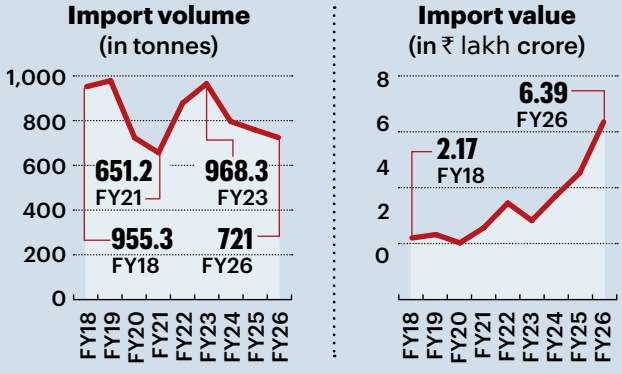


GOLD

IMPORT PARADOX

Higher duties failed to curb India's gold appetite as imports by value steadily surged





Source: Renisha Chainani, Head of Research, Augmont

A GOLDEN DILEMMA

If oil has become India's biggest external vulnerability, gold and fertilisers reveal how deeply global shocks penetrate everyday economic life. One reflects India's cultural obsession, the other its food security challenge. Both now sit at the heart of the government's austerity push. Gold is India's second-largest import item after crude oil. Import duties on the yellow metal and silver were raised from 6 per cent to 15 per cent—comprising a 10 per cent basic customs duty and a 5 per cent Agriculture Infrastructure and Development Cess—to curb the widening CAD. The policymakers hope higher duties will suppress demand. World Gold Council estimates suggest every 1 per cent rise in import duty reduces demand by roughly 6.4 tonnes. A 9 per cent rise, therefore, could cut annual consumption by nearly 60 tonnes, close to a month of India's yearly demand of about 700 tonnes. "Historically, duty hikes affect demand in the short term, but eventually consumers return," says Dr Renisha Chainani, head of research at gold trading platform Augmont.

But the market is already showing distortions. Rajesh Rokde, chairman of the All India Gem and Jewellery Domestic Council, says jewellery sales in northern and western India have already fallen by around 30 per cent. "Customers who are coming in are panic-buying because they think more restrictions may be imposed," he says. Higher duties have also revived the old problem of smuggling. Rokde says parallel pricing has emerged in the market, with significant gaps between invoiced and unofficial transactions. The government's next move may be to revive the Gold Monetisation Scheme. Indian households are estimated to hold nearly 30,000 tonnes of idle gold. Even bringing 1 per cent of that stock into circulation could reduce import dependence.

Silver has become another concern. India is now the